UNICEF Business Feasibility Project: Creating Sustainable Pathways for Learning Passport

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Executive Summary

UNICEF is the world's leading advocate for children's rights and development. Through various forms of support, UNICEF works globally to improve children's health, education, and other living conditions, promoting their all-round development. Learning Passport is a digital education platform launched by UNICEF to close the learning poverty gap and enable children and teachers around the world to continue their education (UNICEF, n.d.).

Currently, Learning Passport's operational structure resembles a parasitic model, which relies excessively on financial assistance provided by partners. This dependency puts the future development of the platform at high risk, especially when the partner terminates the cooperation or there is a financial crisis. To address the over-reliance on external resources, Learning Passport needs to shift to a self-sustainable operating model.

One feasible solution is to partner with electronic companies to provide fully functional devices to users without access to services. In return, partners can benefit from a long-term profit-sharing mechanism linked to Learning Passport's success and brand exposure through UNICEF's global influence. Another solution is to introduce a tier-based subscription model that ensures sustainability by offering a free model with limited features and a premium subscription model for $10 annually. Revenue generated will be used for platform improvements, system maintenance, and offline learning campus construction.

Based on the analysis, the second solution is recommended for Learning Passport since it not only ensures that basic users can enjoy most of the features for learning, but also develops a new customer base by inserting paid premium features. This solution increases Learning Passport's scalability, revenue (estimated annual revenue of $6-9 million) and sustainability.

The implementation plan is divided into three phases: short-term, mid-term, and long-term. In the short-term phase, Learning Passport will focus on platform innovation by introducing paid premium features, and attract customers through guerrilla marketing. In the mid-term phase, it will increase customer retention through the Loyalty Program, while continuously optimizing the platform based on user feedback. Finally, in the long-term phase, sustainable development is ensured through the expansion of offline learning hubs, and marketing strategies such as quarterly flash mobs will drive user growth.

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1. Introduction

Based on Learning Passport, it is a Class B new venture that incrementally innovates to establish a new market category, while also leveraging existing technology (Kuratko, 2023). Specifically, the "Leaning Passport" arises from UNICEF's collaboration with Microsoft and the University of Cambridge. Using current cutting-edge technology, they promote equal access to educational materials for children in conflict zones and remote regions worldwide, such as Latin America and the Caribbean (UNICEF, n.d.).

This business plan report, based on an in-depth analysis of the sustainable market for Moocs, the company's internal SWOT, and the successful competitor, states that **if Learning Passport's partnerships came to an end or the partners became financially unstable, the platform would encounter issues in maintaining and developing its own business. This is because, Learning Passport, which resembles a parasitical entity, currently overly relies on external partnerships for financial and technical support, and thus lacks a self-sustaining and reciprocal operational structure.** In this regard, **by proposing an innovative subscription program with an open-source business model, a device donation agreement scheme**, and an accompanying alternative comparison, this report seeks to identify optimized pathways for Learning Passport to enhance support for underserved disadvantaged children and young people while also making a profit. Following that, this report will present a refined recommendation derived from the comparison matrix. The report will thereafter propose a specific implementation plan aimed at enhancing the platform's impact and sustainable profitability to ensure its long-term technological advancement.

2. Analysis

2.1 Market Analysis

2.1.1 Market Overview:

The lockdown during the COVID-19 pandemic has rapidly shifted education worldwides to digital platforms, resulting in an unprecedented surge in demand for digital learning. After the pandemic, the global digital learning market reached a size of $217.57 billion in 2022, and is predicted to grow at a compound annual growth rate of 18.6% from 2023 to 2030, showing huge market potential (Grand View Research, n.d.).

2.1.2 Target Market:

Education inequality remains a pressing issue globally, with data showing that 33% of school-age youth in low-income countries are not attending school, compared to 3% in

high-income countries (Parlier, 2024). The contrast between these two figures highlights the urgent need for quality education resources for young people in low-income countries. The Learning Passport addresses this disparity by offering digital access to quality education, including early childhood, primary, and secondary education, and vocational training (UNICEF, n.d.). This platform overcomes geographic and resource barriers, providing critical learning opportunities in underserved areas.

2.1.3 Stakeholders analysis:

The Learning Passport is a critical educational resource for **young learners** in remote or underserved areas, providing quality education that overcomes geographical and connectivity barriers. Beyond academics, it fosters psychosocial resilience, offering stability during crises (Cambridge University Press & Cambridge Assessment, 2020). The Learning Passport fosters active student engagement by incorporating learner feedback to adapt the platform to their evolving needs, demonstrating a global commitment to equity and inclusion (Cheshire Disability & Leonard Cheshire Disability (UK), 2019).

Educators and local schools in resource-scarce, displacement contexts require tools that integrate with existing practices, bridge learning gaps, and address language and socio-economic barriers (Cambridge University Press & Cambridge Evaluation, 2020). A participatory, data-driven approach, as outlined by Fotopoulou et al. (2023), enables educators to leverage their expertise to help tailor content to specific local needs and cultural contexts, and to provide feedback on how well the platform fits with educational goals. The **technical team** is composed of UNICEF developers, external partners, and software engineers, and collaborates with stakeholders like Microsoft. It enhances scalability and reliability, and addresses language barriers and diverse learning needs (Cambridge University Press and Cambridge Evaluation, 2020). Moreover, Guided by ethical data practices and user-centered design, the platform safeguards sensitive data, particularly for vulnerable groups, while adaptive technologies promote inclusivity for students with special educational needs (SEN) (Fotopoulou et al., 2023; Alcaraz et al., 2024).

2.1.4 PESTEL model:

The Learning Passport's development is shaped by the PESTEL framework, addressing political, economic, social, technological, environmental, and legal factors. These factors determine its adaptability, equity, and sustainability, requiring alignment with global policies, cost-effective solutions, gender-sensitive approaches, sustainable practices, and robust legal frameworks to ensure inclusive and secure access to digital education worldwide (see Appendix A).

2.1.5 Porter’s Five Forces

Porter’s Five Forces framework evaluates the Learning Passport's strategic positioning in digital education by analyzing market forces—new entrants, supplier and buyer power, substitutes, and competition—highlighting how technology, partnerships, and demand for customization shape opportunities and challenges in this dynamic industry (see Appendix A).

2.2 Company Analysis

2.2.1 SWOT Analysis

2.2.2 Strengths:

The program advantages from its dedication to focus on user accessibility, backed up by strong partnership which led to their success, evidenced by LP's rapid growth. Since the launch in 2019, user base has increased significantly over 200% from 2 million in 2021 to more than 6 million across 38 countries (UNICEF, 2023). Further, collapsing academic institutions enhance the platform's capacity to deliver advanced educational content and ensure continuous innovations. The program’s effectiveness to localize content offers cultural relevance and inclusivity for diverse communities, thereby extending its reach to 38 countries. This adaptability is further enhanced by its distinctive offline learning feature, offering access in regions with limited internet connectivity, thereby enabling the platform to contribute to education with regional infrastructure challenges.

2.2.3 Weaknesses:

The Learning Passport is confronted with several significant weaknesses that might potentially limit its long-term sustainability. The main weakness lies in the platform's excessive dependencies on external sources such as donations and partnerships. As of 2023, 75% of its funding is currently coming from these sources in which the issue can be a potential challenge for sustainability especially in periods of economic downturn (Learning Passport 2023 Annual Report). Further, it has been observed that the process of adapting technology stands as a constraint for expansion. In low-income countries, only around 20% of formal schools have access to the necessary digital infrastructure, and where less than 30% of teachers have received adequate digital training (UNICEF, 2022). The issue is particularly for those in underdeveloped/rural areas where teachers and students disproportionately lack the necessary skills for applying digital tools. Additional training and support towards familiarizing the program’s features is required.

2.2.4 Opportunities:

The learning passport has substantial potential to expand its influence through a variety of strategic initiatives. First, the platform could further seek operations in which it can improve its offerings for users by establishing additional partnerships with educational institutions, NGOs, and tech companies, which could provide valuable resources. Second, the provision of advanced features, such as personalized learning or exclusive content could be established by implementing a subscription model as it could enhance financial stability and decrease dependence on external funding. Moreover, offering offline campuses with in person engagement, especially in underserved regions with limited educational access. The incorporation of offline or in-person learning by educational platforms is still limited, suggesting that there are substantial opportunities for growth in this domain. In 2023, EdTech's global mapping exercise showed that they analyzed 471 digital learning platforms across 184 countries; The results indicated that only 30% of the platforms offered offline features. Learning Passport could substitute formal school with in-person classes (EdTech Hub, 2023). Solution proposals can be found in the “alternative solution” selection.

2.2.5 Threats:

Competition from established EdTech platforms poses a threat, whereas other platforms often gain long term robust funding with advanced features developments. Further, the psychological process in which people prefer familiar/well known platforms accumulates into competitor’s user bases, may draw potential users away from the Learning Passport. The next section proposes a detailed competitor analysis.

2.3 Competitor Analysis

Among the many educational platforms, this section examines Coursera, the most commercially successful online learning platform, established in 2012 by Stanford University professors Andrew Ng and Daphne Koller, which aims to offer premier educational opportunities to a broad audience.

2.3.1 Strengths/Weaknesses:

2.3.1.1 The Strengths of Coursera

The platform focuses on online higher education and professional development courses in partnership with over 300 of the world's top universities, including Stanford and Yale, and covers topics such as programming, finance, data science, and among others (Shafiq et al., 2017; see Appendix B for more details).

2.3.1.2 Coursera’s Weaknesses

The platform's reliance on technology means that any technical issue might instantly ruin course access and compromise the user experience, hence erasing customer trust in the platform. Notably, the platform's demand for network reliability limits access to many users in remote areas without an internet connection, compromising its initial goal of popularizing education (The Strategy Story, n.d.; see Appendix B for more details).

2.3.2 Target Customer/Message

1) Coursera's customer base in the B2C model is mostly composed of Paid Individual Learners and non-paid Individual Learners (as well as users who are given free learning options via financial aid programs). 2) Institutional customers in the B2B model include corporate employees, government agency and non-profit social organization employees, and students of higher education (The Strategy Story, n.d.; see Appendix B for more details).

2.3.3 Product Specific

2.3.3.1 Product Features from the User-Centric Perspective

In 2020, the platform allowed individuals and experts to co-create high-quality courses (Wang, 2023). Moreover, the platform's on-demand mode offers learners the flexibility to finish lessons (Shafiq et al., 2017). B2C website prioritizes straightforward language and inclusive visual design to promote low-threshold use by the average consumer, while B2B websites feature more specialized interfaces (Simmonds, 2024). In this respect, as Kuratko (2023) emphasizes, new-venture tends to employ a Design-Centered Methodology for its products, emphasizing the user's desired form, function, and aesthetics (p. 135). Instead of solely depending on technical push, Coursera prioritizes user-centric innovation, focusing on addressing customer needs, gains, and pains (see Appendix B for more details).

2.3.3.2 Perks: Business Tactics (Social Welfare Support + Automated Affordances) for Cultivating Lasting Customer Relationships

The business's added value is in its user welfare support and technical affordances, which emphasize cultivating durable relationships with its target customers. **Firstly**, for consumers who cannot afford the subscription cost, the organization offers financial help programs to grant free access to high-quality courses. Remarkably, during the epidemic,

Coursera launched 3,800 free campus and government courses and allowed the government to issue licenses to unemployed workers (Wang, 2023). Namely, Coursera offers free educational resources to marginalized communities and modifies its policies to alleviate external public health challenges, which can enhance user engagement. **Secondly**, the site includes an AI chatbot to one-on-one help new users find personalized course pathways, resulting in a long-term connection. Coursera also has one of the most sophisticated Search Engine Optimization (SEO) in the entire online learning industry, thereby increasing customer reliance (Simmonds, 2024).

2.3.3.3 Revenue Streams and Pricing

Based on ConsumerAffairs (2024), the platform introduces an audit subscription model for sustainable monetization (see Appendix C, Figure C1). Meanwhile, Coursera's B2C+B2B approach enables the company to stabilize its existing market while expanding into the higher end of the sector (Simmonds, 2024; see Appendix C, Figure C2 for complete proof).

2.3.4 Strategies for Learning Passport to Win: Strategic Differentiation and Innovative Market Positioning Based on Drawing on Strengths and Avoiding Weaknesses

Based on the competitive analysis shown above, Learning Passport should prioritize providing stable access to formal and informal education to children and young people from marginalized areas in order to capture the user base that Coursera finds difficult to reach and provide some pricing-level and features that Coursera cannot provide. Furthermore, the platform should develop a long-term self-sustaining and reciprocal business model as Coursera applies and avoid relying excessively on one-sided relationships with external partnerships to keep it running. Concurrently, Learning Passport has the potential to lower the platform's reliance on online technology by transitioning certain activities to direct on-the-ground channels. This would prevent the pain of being unable to serve users during technology glitches, such as those experienced by Coursera. In general, through solving the jobs-to-be-done and the development of customer-centric products and services that alleviate pain and generate gains for users, Learning Passport has the ability to establish economic sustainability and growth.

3. Alternative Solutions

Currently, Learning Passport lacks a sustainable operating strategy since it depends on external funding. Once the partner becomes financially unstable or the partnership ends, the platform will experience operational challenges that make it hard to sustain the current business and grow. To cope with this dependency, Learning Passport needs to improve its self-sustaining ability to ensure stable operation and sustainable development.

3.1 Alternative 1: Establish strategic partnerships with Electronic Companies

To address device scarcity, Learning Passport can partner with electronics companies or distributors to obtain functional but unsellable devices, such as those with minor defects or outdated models. Meanwhile, a reliable system for receiving, refurbishing, distributing, and maintaining devices is essential to guarantee that they satisfy learning needs and are accessible to the most needy users. In addition, Learning Passport should focus on information transparency, regularly providing partners with information on user feedback, device usage, and project outcomes, which can increase partner companies' sense of involvement. In exchange for their contribution, Learning Passport can highlight these companies' brand information on the device's launch screen and through joint publicity efforts to boost their image as corporate social responsibility supporters, and the reputation of UNICEF can further expand the brand influence of partner companies. Furthermore, a long-term profit-sharing mechanism can guarantee the sustainability of the partnership. Donating companies will get a portion of Learning Passport's profits, which will be determined by the original worth of the donated devices, once Learning Passport is profitable. As Learning Passport's profitability steadily increases, the partners' share of the profits can also be raised to further motivate their ongoing support.

3.2 Alternative 2: Introduce a Subscription Model with Innovation

To ensure sustainability and growth, we propose a tier-based subscription model inspired by other successful EdTech platforms such as Coursera which offers advanced features to cater to diverse user needs. The free model will remain available with limited features, while certain components being made open-source to encourage public innovation. Therefore, we enhance accessibility by enabling developers, educators, and organizations to have free access to customizing the platform. Back to the idea, basic users will gain access to standard supplementary features while premium subscribers receive enhanced benefits such as personal exclusive or customized content. By setting an affordable annual premium fee of $10 to encourage broad adoption, thus generating significant revenue with our 6 million

current users. Therefore, we can ensure sufficient funding for further expansion/improvement and system maintenance without excessive financial burden on users. Learning passport has been implementing "Offline Learning" programs but constantly encounters difficulty in scaling these to all needy regions. For further expansion, we can distribute a portion of the subscription revenue to elaborate offline hubs in regions with limited access or technological barriers. By charging a minimal fee for offline access, Learning Passport distinguishes itself as a distinctive educational platform that integrates digital and physical learning, and thus provides superior values.

3.3 Alternative Comparison

Solution 1 effectively addresses device scarcity by leveraging donated devices. The approach reduces procurement costs and increases the program's exposure. The engagement in partnership relies on the support of donating companies which possibly could lead to an unstable supply of devices in times of economic uncertainty. The profit-sharing mechanism will be implemented only when Learning Passport has made a profit, meaning that in the short term, the donating companies will not get a direct financial return. This may reduce their enthusiasm for participation. On the other hand, solution 2 offers a steady revenue stream, and hence enhances financial stability. The proposed models cater to different groups of users and ensure diversity in user options without leaving an excessive financial burden on them. Furthermore, a portion of the income major goes into developing the offline hub, accessing rural areas that were once supported by any platform/poor internet connection can be solved.

However, solution 2 might face challenges in the amount of converted users. The stream mainly relies on the amount of conversion to gain revenue, issues like market saturation might destroy the plan in the first place. In addition, the innovation process of the subscription model requires significant investment which might encounter obstacles in funding.

4. Recommendation

4.1 Recommendation

Based on the comparison and analysis of the two solutions (see Appendix D), we recommend Solution 2. The model's approach is superior considering factors owing to its scalability, consistent revenue, and sustainability. The subscription model is capable of producing $6 million to $9 million annually with an optimistic adaptation rate 10 to 15%. Further, it provides complimentary access for basic consumers. Compared to solution 1,

solution 2 eliminates dependence on external collaborations and fosters both digital innovation and the extension of offline learning, ensuring sustained comparative advantage.

4.2 Implementation Plan

4.2.1 Short Term Phase【2-3 months】

4.2.1.1 Platform Innovation Plan

Creating advanced models with premium features offering personalized exclusive content for $10 annually, which requires an initial investment of around $300,000-$400,000 in platform development and $200,000-$300,000 annually for open-source maintenance (7T, n.d.). Pilot testing to ensure functionality before the launch.

4.2.1.2 Promotion & Marketing Plan to Get Customers

According to the Customer Relationship Funnel, Learning Passport should consider not only cost-effectiveness and innovative thinking in short-term (2-3 months) advertising marketing to acquire customers, but also the availability of strategies for those in remote areas who do not have network coverage. In other words, we will calculate the ratio of LTV to CAC in detail to ensure a healthy financial position so that the platform does not lose money at the beginning. Meanwhile, we will focus on a physical advertising and marketing model to promote educational programs in a low-cost, locally responding style (Kuratko, 2023). Therefore, guerrilla marketing is an ideal choice because of its innovative and low-cost technique, which can rapidly establish an emotional bond with potential local users and increase brand recognition (Klug & Hoffmann, 2011; Kuratko, 2023). We can actively invite local public artists to work with LP to create impactful graffiti or murals in high-profile public spaces. These art activities should serve as a promotional tool and a catalyst for community engagement, encouraging individuals to learn about the program and become directly involved, while also creatively communicating the vision that "everyone has the right to a quality education." LP plans to achieve short-term milestones of 3 high-traffic local public spaces with graffiti promotions to maximize brand exposure for getting customers.

4.2.2 Midterm Phase【6-12 months】

4.2.2.1 Promotion & Marketing Plan to Keep Customers

In the mid-term development phase (6-12 months), Learning Passport will concentrate on Loyalty Programs to enhance engagement with existing users, thereby establishing long-term and stable customer relationships. LP will establish Mobile Education Stations,

which involve deploying small trucks in remote places on a regular basis to provide users with updated and interactive learning features, thus solidifying recognition of the platform and increasing user stickiness. In this regard, LP's mid-stage milestone is to maintain the platform's monthly active user ratio above 60% and enhance Customer Lifetime Value, thereby transforming consumers into devoted supporters to provide a robust foundation for long-term user creation.

4.2.2.2 MVP and Iteration Plan

Follow the Institute of Design at Stanford framework for prototyping and user testing to optimize the user experience while offering technical and design support (Kuratko, 2023). Initial effort will focus on identifying and prioritizing the potential needs of target users to define the core features. Next, feedback from students and teachers will be collected to refine interface design and content recommendations. This qualitative data will drive rapid iteration, aligning features with user habits, and identifying the most marketable features. After several rounds of testing and optimization, an MVP version with core features, basic user experience, and verifiable user feedback mechanisms will be launched within 12 months, laying a foundation for market expansion.

4.2.3 Long Term Phase【next 2-3 years】

4.2.3.1 Sustainability (see Appendix E, Table E4 and E5)

Typically for general custom software/platforms, it is expected to cost around 15–20% of the initial development cost per year on maintenance/updates (see Appendix E, Table E3). Other costs/investment associated with developing and operating a platform like Learning Passport (EPAM Startups & SMBs, n.d.).

4.2.3.2 Offline Hub Expansion

According to table x2 and x5, optimistically around 78% of our revenue translates into profit after covering all expenses within the 5 years. Use subscription revenue to establish 5 offline hubs annually in underserved regions, costing $200,000-$300,000 per hub, with $10,000 for yearly maintenance. Charge minimal fees to cover operational expenses.

4.2.3.3 Promotion Plan to Grow Customer

The core objective will be to focus on user growth over the next 2-3 years of LP. Based on the successful customer retention strategy, Mobile Education Stations will organize quarterly flash mobs in multiple target areas. Original customers will be able to invite peers

and family members to experience the course. Referrers and referrals will be rewarded with a simple but unique educational-themed souvenir with program promotional information, thus retaining long-term relationships with existing customers and increasing new users. Through flash mobs and referral programs, LP plans to more than double its initial user base in the long term, thereby building a broad regional user base for the platform.

4.2.3.4 Revenue Calculation

Conversion on the current users base of 6 million; Subscription Fee: $10/year (see Appendix E, Table E1). Total users of 6,000,000 currently, annual user growth isn't publicized, so setting user base increases around at 10% per year. A constant increase of 10% annually isn't sustainable in the long run, therefore it would imply the **S-Curve Model** to foreseen limits. Explores the carrying capacity for the expansion in user growth to slow down as it approaches the max limit. Considering Ferment Stage, Growth Deceleration and Saturation Stage, therefore, we would set the plan within a range of 5 years (see Appendix E, Table E2).

5. Conclusion

In conclusion, transitioning Learning Passport to a self-sustainable operating model is crucial for its long-term viability and global educational impact. The proposed tier-based subscription model strikes a balance between accessibility for underserved communities and revenue generation, supporting platform upgrades, system maintenance, and the establishment of offline learning hubs. This approach enhances scalability, fosters innovation through premium features, and strengthens user engagement, ensuring the platform's ability to meet diverse educational needs.

The phased implementation plan—emphasizing platform innovation, customer retention, and strategic growth—provides a clear roadmap for achieving sustainability. By reducing reliance on external funding and focusing on impactful strategies like loyalty programs and infrastructure expansion, Learning Passport can secure its future while continuing to close the learning poverty gap and empower educators and children worldwide.

Appendix A

PESTEL Model

The Learning Passport's success relies on the **political** landscape, integrating national policies, international regulations, and regional stability. Tierens et al. (2024) highlight that Global networks like UNICEF and OECD shape digital education policies, advocating equitable access. Stable governance ensures funding, alignment with education standards, and ICT infrastructure, critical for equitable access (van der Vlies, 2020). Additionally, UNESCO (2024) underscores the need for educational technology to meet global standards to enable seamless integration across diverse educational systems, supporting the Learning Passport's adaptability and effectiveness.

Economically, high inflation in 2023, exceeding 8% in Sub-Saharan Africa and South Asia, has reduced household disposable income, limiting access to educational resources and digital platforms like the Learning Passport (World Economic Forum, 2023). Additionally, with low-income countries allocating less than 3% of GDP to education, public investment in digital infrastructure remains constrained (Benveniste & Giannini, 2023). As a result, programs like the Learning Passport must rely on cost-effective, accessible models, such as mobile and offline technology, to reach younger learners effectively.

Social attitudes toward education deeply affect the accessibility and adoption of platforms like the Learning Passport, especially for girls in low-income areas. In many regions, socio-cultural norms limit girls' educational opportunities through early marriage, household roles, and societal expectations. The World Bank reports that girls in conflict-affected regions are 2.5 times more likely to be out of school than boys, and only 38% of girls in low-income countries complete lower secondary school (World Bank Group, 2024). Additionally, gender-based violence affects 60 million girls annually (World Bank Group, 2024). To address these barriers, the Learning Passport must integrate gender-sensitive, offline features and prioritize safety to ensure inclusivity.

Environmental factors are critical for digital educational initiatives like the Learning Passport, given sustainability concerns. Scarcity of critical minerals, such as lithium and cobalt, threatens device affordability and accessibility, especially in low-income areas, as demand rises by 400% by 2040 (IEA, 2021). Moreover, digital platforms' carbon footprints must be addressed to prevent increased emissions (Škare et al., 2024). To mitigate these environmental impacts, sustainable practices are essential for initiatives like the Learning Passport. Adopting renewable energy for data centers and energy-efficient devices can reduce

environmental impacts, aligning the Learning Passport with global sustainability goals (IEA, 2021).

The Learning Passport faces challenges from unclear **legal** frameworks, particularly in data protection, accessibility standards, and online safety. In low-income countries, weak regulatory oversight increases risks of data misuse and privacy violations, especially for minors (Cambridge University Press & Cambridge Assessment, 2020).

Porter's Five Forces

The **threat of new entrants** in the digital education sector is shaped by complex dynamics involving both high entry barriers and emerging opportunities. Traditionally, significant technological investment requirements and partnerships with established organizations like Microsoft have been crucial for initiatives such as the Learning Passport (Amiel, 2024). However, over the past decade, major technology companies, once hardware and software providers, have transformed into cloud-based service behemoths, shifting the market dynamics significantly (UNESCO, 2024). This transformation has intensified reliance on big tech platforms, yet also opened avenues for new entrants to leverage cloud technologies at reduced costs, lowering entry barriers (Amiel, 2024).

The **bargaining power of suppliers** for the Learning Passport is relatively low because it has access to a wide range of technology providers and content creators. Essentially, this means it's not overly reliant on any single supplier for digital content or infrastructure. However, there is a notable dependency on major tech companies, particularly Microsoft, for platform management. This dependency could become a risk in the long run if Microsoft were to adjust contract terms or pricing, which could impact costs and flexibility.

On the other hand, the **bargaining power of buyers**—such as educational institutions, governments, and NGOs—is quite strong. These organizations are increasingly looking for affordable, adaptable educational platforms to meet the diverse needs of their regions and populations. This high demand for customization puts pressure on the Learning Passport to offer flexible, tailored solutions, which can drive up operational costs as it requires extra resources to meet varied needs.

The **threat of substitutes** remains considerable as numerous digital platforms (like Google Classroom and Khan Academy) offer alternative educational resources, potentially drawing users away if they perceive added value or lower costs elsewhere.

Rivalry among competitors in digital education is intense, with platforms like Coursera and Khan Academy competing to capture underserved markets. Each platform

seeks to differentiate through unique content, partnerships, and accessibility features tailored to local needs.

Appendix B

Coursera's Strengths, Weaknesses, Messaging, and Features

Strengths

Coursera is certified as a B corporation, meaning it meets high standards of overall social and environmental ethical performance along with its commitment to economic growth (Coursera, 2024). The platform focuses on online higher education and professional development courses in partnership with over 300 of the world's top universities (Shafiq et al., 2017). Besides, the platform's user base ranks top in terms of growth rate in the overall online learning app market. As of 2021, its user base climbed to 97 million, attaining a 322% growth rate from 2016 (Wang, 2023). The platform's course offerings are extensive, with over 60,000 courses currently available in 56 languages, appealing to a varied audience. After subscriptions and course completion, they also provide specific certificates and bachelor's degrees in popular fields (Wang, 2023). According to positive feedback from Plover in San Diego, CA, Coursera offered him self-paced, high-quality C++ programming courses and helped him obtain jobs in programming-related fields (ConsumerAffairs, 2024).

Weaknesses

Coursera’s business model relies heavily on partnerships with external parties, and thus the alterations in partner preferences may affect the overall quality and breadth of the platform's offerings. Meanwhile, despite the platform’s grant of certificates being a distinctive strength of Coursera, numerous companies and educational institutions continue to regard its authority as being lesser than that of a conventional on-campus certification. Additionally, the online program lacks support for interactions between students and teachers, lowering the learning experience (The Strategy Story, n.d.). The platform's reliance on technology means that any technical issue might instantly ruin course access and compromise the user experience, hence erasing customer trust in the platform (The Strategy Story, n.d.). Negative comments from Ethos in Vienna, VA, revealed that a technological issue in the platform caused great dissatisfaction because of the whole removal of previously finished module records and the necessity to pay further expensive subscription costs

(ConsumerAffairs, 2024). Notably, the platform's demand for network reliability limits access to many users in remote areas without an internet connection, compromising its initial goal of popularizing education (The Strategy Story, n.d.).

Dual Messaging

As Information and Communication Technology (ICT) keeps evolving, many open learning platforms such as Coursera, Udacity, and EdX have risen significantly, putting online learning on a route to widespread success. Many leading universities in the United States gradually recognize the use of Moocs as a cost-effective learning strategy (Barclay & Logan, 2013; Shafiq et al., 2017). Significantly, the need and acceptance of online education are fast rising globally, especially in the following years of COVID-19 (The Strategy Story, n.d.). In this regard, considering a landscape abundant with external possibilities, the Moocs is evolving and enhancing its capacity to offer learners globally extensive and profound educational resources. In this context, Coursera delivers differentiated messaging to the customers by introducing a B2C + B2B strategy in the red ocean, namely providing mass higher education on the one hand and offering upskilling services for professionals on the other. Initially, Coursera focused on general customers through a B2C plan, prioritizing the provision of high-quality educational content and chances for lifelong learning. As the business expanded, the company incorporated B2B plans such as Coursera for Business, Government, and Campus, which offer suitable courses to respective institutions to develop and train inner executives or staff (Simmonds, 2024). Overall, Coursera conveys a dual message to users regarding higher education for the general public and professional skills training for institutional staff.

Product Features from the User-Centric Perspective

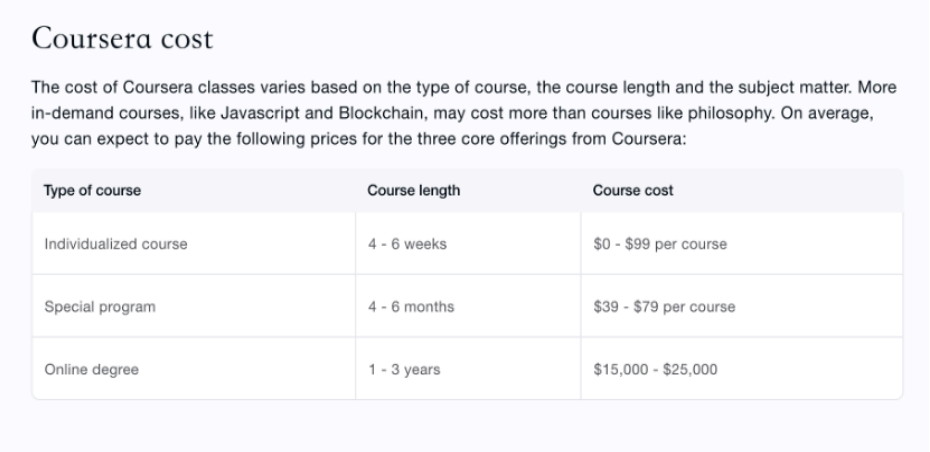
In 2019, the platform introduced course scheduling and annotation options to improve the learning experience for users. In 2020, the platform allowed individuals and experts to develop their own course modules and quiz questions, enhancing the freedom to co-create high-quality courses (Wang, 2023). Coursera is founded on the notion of Mastery Learning, which assigns different versions of tasks based on the learner's perceived level of difficulty. Moreover, during course participation, users can obtain peer assessments and interactive quizzes from community members, facilitating meaningful experiential learning for both learners. In addition, the platform's homepage offers a systematic index for users to locate

courses. The platform's on-demand mode offers learners the flexibility to finish lessons, making it suitable for both students and adults with demanding schedules (Shafiq et al., 2017). B2C website prioritizes straightforward language and inclusive visual design to promote low-threshold use by the average consumer, while B2B websites feature more specialized interfaces aimed at delivering tailored ROI-driven services for targeted business users (Simmonds, 2024). In this respect, as Kuratko (2023) emphasizes, new-venture tends to employ a Design-Centered Methodology for its products, emphasizing the user's desired form, function, and aesthetics (p. 135). Instead of solely depending on technical push, Coursera prioritizes user-centric innovation, focusing on addressing customer needs, gains, and pains.

Appendix C

Pricing Strategies and Profitability of Coursera

Coursera introduces an audit subscription model for sustainable monetization. Specifically, users can access a portion of the course content without being offered the full materials, certificates, interactive assessments, etc. Afterward, they decide to pay and subscribe to individual courses, special programs, or online degrees when evaluating the value fit of the content.



Coursera cost

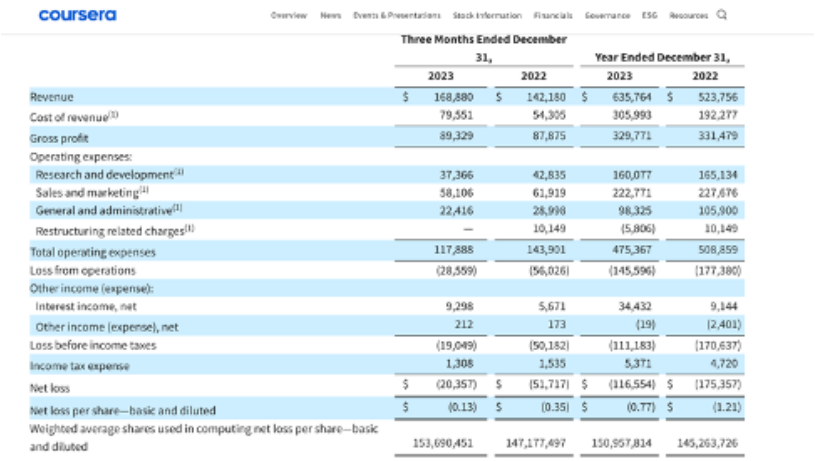
The cost of Coursera classes varies based on the type of course, the course length and the subject matter. More in-demand courses, like Javascript and Blockchain, may cost more than courses like philosophy. On average, you can expect to pay the following prices for the three core offerings from Coursera:

Type of course	Course length	Course cost
Individualized course	4 - 6 weeks	$0 - $99 per course
Special program	4 - 6 months	$39 - $79 per course
Online degree	1 - 3 years	$15,000 - $25,000

Figure C1. This image illustrates Coursera’s subscription price ranges for different classes. *Note*: Data adapted from ConsumerAffairs (2024).

Coursera's B2C+B2B approach enables the company to stabilize its existing market while expanding into the higher end of the sector. According to Coursera's full-year revenue

estimation for 2021, one-third of its income came from its B2B section (Simmonds, 2024). Given that, the user-centric subscription model and B2C+B2B framework have the great profitability.



coursera

Overview News Events & Presentations Stock Information Financials Governance ESG Resources

	Three Months Ended December 31,		Year Ended December 31,	
	2023	2022	2023	2022
Revenue	$ 168,880	$ 142,180	$ 635,764	$ 523,756
Cost of revenue[1]	79,551	54,305	305,993	192,277
Gross profit	89,329	87,875	329,771	331,479
Operating expenses:				
Research and development[1]	37,366	42,835	160,077	165,134
Sales and marketing[1]	58,106	61,919	222,771	227,676
General and administrative[1]	22,416	28,998	98,325	105,900
Restructuring related charges[1]	—	10,149	(5,806)	10,149
Total operating expenses	117,888	143,901	475,367	508,859
Loss from operations	(28,559)	(56,026)	(145,596)	(177,380)
Other income (expense):				
Interest income, net	9,298	5,671	34,432	9,144
Other income (expense), net	212	173	(19)	(2,401)
Loss before income taxes	(19,049)	(50,182)	(111,183)	(170,637)
Income tax expense	1,308	1,535	5,371	4,720
Net loss	$ (20,357)	$ (51,717)	$ (116,554)	$ (175,357)
Net loss per share—basic and diluted	$ (0.13)	$ (0.35)	$ (0.77)	$ (1.21)
Weighted average shares used in computing net loss per share—basic and diluted	153,690,451	147,177,497	150,957,814	145,263,726

Figure C2. This image illustrates Coursera's total financial sales of $168.9 million in the fourth quarter of 2023, an increase of 19% year-on-year. *Note*: Data adapted from Coursera (2024).

Appendix D

Comparison Matrix

Standards	Alternative 1: Strategic Partnerships	Alternative 2: Subscription Model
Sustainability	Relies on partners and profit-sharing	Provides stable-scalable revenue
Flexibility	Limited by donated devices and dependent on the logistics organization	Highly scalable through a digital subscription model
Revenue Potential	Variable and partner-dependent	Predictable: $6M-$9M annually at 10-15% rates
Implementation	Challenging logistics for device distribution/management	Platform upgrades and marketing/Offline hubs expansion
Accessibility	Improves device access/limited impact	Broad access via free tier and premium options.
Innovation	Limited on physical devices	Encourages open-source and feature innovation

Appendix D. Solution 2 is superior considering factors owing to its scalability, consistent revenue, and sustainability.

Appendix E

Income Statement for Learning Passport

Table E1

Conversion Rate	Subscribers	Annual Revenue
5%	300,000	$3,000,000
10%	600,000	$6,000,000
15%	900,000	$9,000,000

Table E2

Year	Total Users	Subscribers (5%)	Revenue (Conservative)	Subscribers (10%)	Revenue (Moderate)	Subscribers (15%)	Revenue (Optimistic)
1	6,600,000	330,000	$3,300,000	660,000	$6,600,000	990,000	$9,900,000
2	7,260,000	363,000	$3,630,000	726,000	$7,260,000	1,089,000	$10,890,000
3	7,986,000	399,300	$3,993,000	798,600	$7,986,000	1,197,900	$11,979,000
4	8,784,600	439,230	$4,392,300	878,460	$8,784,600	1,317,690	$13,176,900
5	9,663,060	483,153	$4,831,530	966,306	$9,663,060	1,449,459	$14,494,590

Table E3

Year	Maintenance Cost at 15% ($)	Maintenance Cost at 20% ($)	Cumulative Cost at 15% ($)	Cumulative Cost at 20% ($)
1	300,000	400,000	300,000	400,000

Table E4

Cost Category	Year 1 ($)	Years 2-5 ($) Annual
Marketing and Advertising	300,000	100,000
Content Development	150,000	150,000
Customer Support	100,000	100,000
Employee Salaries	1,000,000	1,000,000
Infrastructure Costs	200,000	200,000
Legal and Compliance	50,000	50,000
Administrative Expenses	100,000	100,000
Total	**1,900,000**	**1,700,000**

Table E5

Year	Revenue (Moderate)	Total Other Costs ($)	% of Revenue
1	$6,600,000	$1,900,000	28.80%
2	$7,260,000	$1,700,000	23.40%
3	$7,986,000	$1,700,000	21.30%
4	$8,784,600	$1,700,000	19.30%
5	$9,663,060	$1,700,000	17.60%

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